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23e Crafting & Executing **STRATEGY**

THE QUEST FOR COMPETITIVE ADVANTAGE

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Concepts



**Ethics, Corporate
Social
Responsibility,
Environmental
Sustainability, and
Strategy**

Learning Objectives

After reading this chapter, you should be able to:

1. Understand why the **standards of ethical behavior** in business are no different from **ethical standards** in general.
2. Recognize the conditions that give rise to **unethical business strategies** and behavior.
3. Identify the **costs of business ethics failures**.
4. Understand the concepts of **corporate social responsibility and environmental sustainability** and how companies balance these duties with economic responsibilities to shareholders.

What Do We Mean By *Business Ethics*?

Business ethics:

- Is the application of **general ethical principles** to the actions and decisions of businesses and the **conduct** of their personnel.
- Are not materially different from **ethical principles** in general because *business actions must be judged in the context of society's standards of right and wrong.*

Where Do Ethical Standards Come?

Sources for Ethical Standards:

The school of ethical universalism.

The school of ethical relativism.

Integrative social contracts theory.

ILLUSTRATION CAPSULE 9.1 Ethical Violations at Uber and their Consequences

Which of Uber's several ethical gaps likely caused the greatest damage to Uber's brand and reputation with ridesharing customers?

What must Uber do to regain its momentum in the ridesharing market?

The School of Ethical Universalism

- Holds that common understandings across multiple cultures and countries about what constitutes right and wrong give rise to universal ethical standards that apply to all societies, all firms, and all businesspeople.

Effect on business ethics:

- Whether a business-related action is right or wrong is judged by universal standards.

Is there any ethical consideration here?



The School of Ethical Relativism

Ethical relativism:

- Holds that differing beliefs, customs, and behavioral norms **across countries** and **cultures** give rise to **multiple sets of standards** of what is **ethically right or wrong**.

Effect on business ethics:

- Whether business-related actions are right or wrong depends on **local ethical standards**.

Examples of Ethical Relativism Issues

The use of **underage labor**.

The payment of **bribes**

Relativism can result in **multiple sets of standards**.

The use of **local morality** to guide ethical behavior.

Ethics and Integrative Social Contracts Theory

Provides a **middle-ground balance** between universalism and relativism.

Within contract, cultures or groups can specify **locally ethical** (second-order) actions.

Why Should Company Strategies Be Ethical?

The moral case for an ethical strategy:

- A strategy that is unethical is morally wrong and reflects badly on the character of the firm's personnel.

The business case for ethical strategies:

- An ethical strategy can be both good business and serve the self-interest of shareholders.

ILLUSTRATION CAPSULE 9.2 How PepsiCo Put Its Ethical Principles into Practice

What steps has PepsiCo taken to ensure that its ethical standards of employee conduct are put into practice?

Why has PepsiCo been so successful in encouraging a culture of ethical conduct in its organization when other firms have not?

What has been the effect of PepsiCo's dedication to ethical business practices on its success in the marketplace?

The Visible Costs Companies Incur When Ethical Wrongdoing Is Discovered

Visible costs:

- Government fines and penalties.
- Civil penalties arising from class-action lawsuits aimed at punishing the company for its offense and the harm done to others.
- The costs to shareholders in the form of a lower stock price (and possibly lower dividends).

The Internal Costs Companies Incur When Ethical Wrongdoing Is Discovered

- Legal and investigative costs incurred by the company.
- The costs of providing ethics training to company personnel.
- The costs of taking corrective actions.
- Administrative costs to avoid future discrepancies

The Intangible Costs Companies Incur When Ethical Wrongdoing Is Discovered

- Loss of reputation.
- Lower employee morale and higher degrees of employee mistrust.
- Higher employee turnover.
- Higher recruiting costs and difficulty in attracting talented employees.
- Adverse effects on employee productivity.
- Stricter government regulations.

Strategy, Corporate Social Responsibility, and Environmental Sustainability

Corporate social responsibility (CSR):

- Is a firm's duty to operate in an **honorable manner**, provide **good working conditions** for employees, encourage **workforce diversity**, be a good administrator of the **environment**, and actively work to better the **quality of life** in the **local communities** where it operates and in society at large.

Individual Task

Select a company (domestic or international) that will be the basis for your research.

Research the company's record in the area of CSR. Be sure to look at both their domestic and well as international reputation.

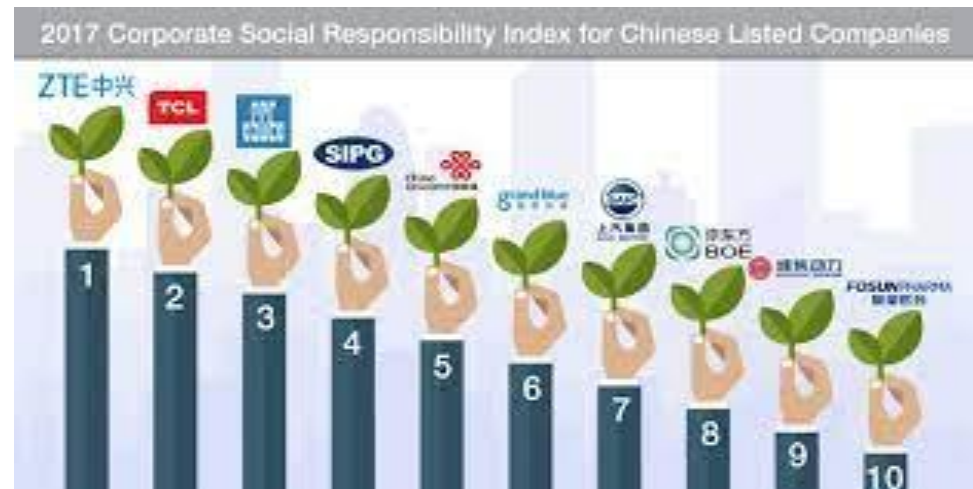
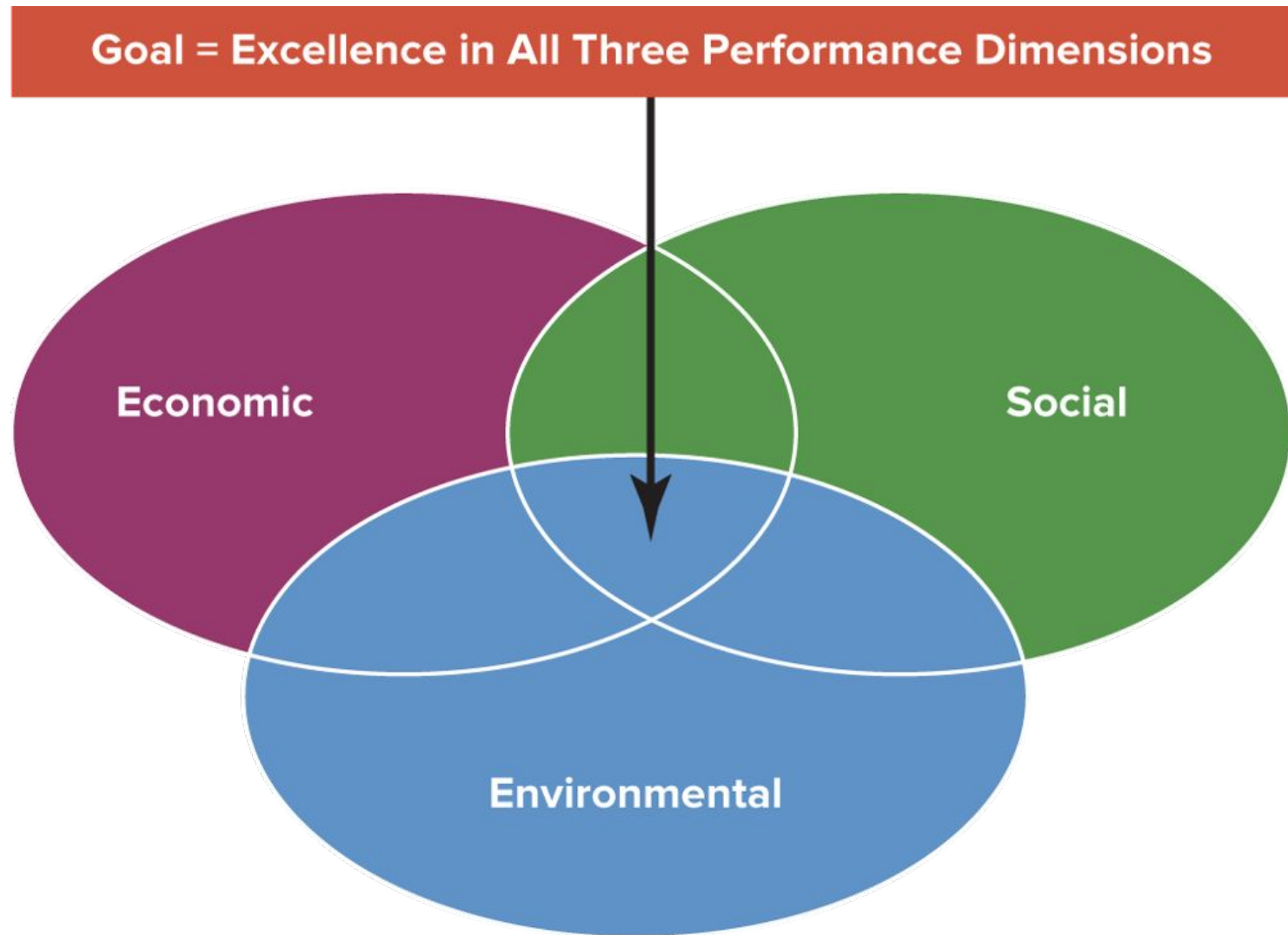


FIGURE 9.2 The Five Components of a Corporate Social Responsibility Strategy



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FIGURE 9.3 The Triple Bottom Line: Excelling on Three Measures of Company Performance



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What Do We Mean by Sustainability and Sustainable Business Practices?

Sustainability:

- Is the **relationship of a firm to its environment** and its use of natural resources.

Sustainable business practices:

- Are those practices of a firm that meet the needs of the present **without compromising the ability to meet the needs of the future.**



Sustainability and Sustainable Business Practices

- Protect the environment.
- Provide for the longevity of natural resources.
- Maintain ecological support systems for future generations.

The Moral Case for CSR and Environmentally Sustainable Business Practices

The Implied Social Contract: “It’s the right thing to do”

- Operate ethically and legally.
- Provide good work conditions for employees.
- Be a good environmental overseer.
- Display good corporate citizenship.

The Business Case for CSR and Environmentally Sustainable Business Practices

Increased buyer support.

Reduced risk of reputation-damaging incidents.

Lower employee turnover costs and enhanced workforce retention.

Increased revenue enhancement opportunities
long-term interests of shareholders.

Combating the Evasion of CSR and Socially Harmful Business Practices

- Increased **public awareness** of misdeeds and bad behavior by firms.
- Increased **legislation** and regulation to correct and punish firms.
- **Refusal to do business** with irresponsible firms.